

25STLC02717 25STLC02717

County: los-angeles

Division: Civil Law and Motion

Department: 26

Hearing date: 2026-06-25

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C26%2C06%2F25%2F2026

Source SHA-256: dda18a4db711bd5184ab24c60b76eb4a72d7b1ce758bde70564f7b3b141fba42

Case Number: 25STLC02717 Hearing Date: June 25, 2026 Dept: 26

TENTATIVE RULING:

Defendants Cheryl Aguilera and Steve Aguilera's Motion for Attorney's Fees and Costs is granted. Defendants are awarded attorney's fees of \$22,083.00 and costs of \$1,003.80.

Analysis:

Plaintiff South Bay Design Center, Inc. ("Plaintiff") filed the instant action for (1) breach of contract; (2) quantum meruit; (3) common count – account stated; (4) common count – open book; (5) prompt payment penalties; and (6) enforce mechanic's lien, against Defendants Cheryl Aguilera and Steve Aguilera ("Defendants") on April 4, 2025. Defendants filed an Answer on June 4, 2025.

On November 18, 2025, Plaintiff filed a Motion to Quash Deposition Subpoena for Production of Business Records. The Motion to Quash was set for hearing on January 29, 2026. On November 26, 2025, Defendant Cheryl Aguilera filed a Motion to Compel Further Responses to Special Interrogatories, Set One; Request for Monetary Sanctions, which was set for hearing on December 22, 2025. That Motion to Compel Further was taken off calendar by Defendant Cheryl Aguilera, then re-filed on December 12, 2025. Before the re-filed Motion to Compel Further came for hearing, however, Plaintiff filed a voluntary dismissal of the action on January 22, 2026. The dismissal was entered on the same day.

Defendants filed the instant Motion for Attorney's Fees and Costs, and a Memorandum of Costs, on January 30, 2026. Plaintiff filed an

opposition on April 10, 2026 and Defendants replied on April 16, 2026. The next day, Plaintiff filed an objection and a request to strike the reply and supporting declaration and evidence on the grounds that defense counsel's reply declaration improperly includes new arguments. (Objection, filed 04/17/26, p. 2:12-13.)

At the hearing on April 23, 2026, the Court continued the matter to allow Plaintiff to file and serve a sur-reply to address the new evidence submitted with Defendants' reply papers. (Minute Order, 04/23/26.) Plaintiff filed a sur-reply and supporting declaration on June 11, 2026.

Discussion

Timing of Motion for Attorney's Fees

A motion for attorney's fees must be filed and served within the time for filing a notice of appeal under Cal. Rules of Court Rule 8.822. (Cal. Rules of Court Rule 3.1702(a).) Cal. Rules of Court Rule 8.822 states that an appeal must be filed within the earlier of either (1) 30 days after service of the notice of entry of the judgment; or (2) 90 days after entry of the judgment. (Cal. Rules of Court 8.822(1).) The order dismissing the action was entered on January 22, 2026 and the instant Motion was timely filed eight days later.

Entitlement to Attorney's Fees

Defendants move for attorney's fees under the prompt payment statutes raised in Plaintiff's fifth cause of action. Business and Professions Code section 7108.5 provides that "A prime contractor or subcontractor shall pay to any subcontractor, not later than seven days after receipt of each progress payment, unless otherwise agreed to in writing, the respective amounts allowed the contractor on account of the work performed by the subcontractors, to the extent of each subcontractor's interest therein." (Bus. & Prof. Code, § 7108.5, subd. (a).) "In any action for the collection of funds wrongfully withheld, the prevailing party shall be entitled to his or her attorney's fees and costs." (Bus. & Prof. Code, § 7108.5, subd. (c).)

In *James L. Harris Painting & Decorating, Inc. v. West Bay Builders, Inc.* (2015) 239 Cal.App.4th 1214, the Court of Appeals explained that:

The determination of whether there is prevailing party is to be made 'on a practical level' after considering what each party accomplished via the litigation." (ComputerXpress, supra, 93 Cal.App.4th at p. 1017, 113 Cal.Rptr.2d 625.) This means that " '[t]he prevailing party determination is to be made only upon a final resolution of the contract claims and only by "a comparison of the extent to which each party ha[s] succeeded and failed to succeed in its contentions." [Citation.]' (Hsu v. Abbara (1995) 9 Cal.4th 863, 876 [39 Cal.Rptr.2d 824, 891 P.2d 804].)" (Brawley, supra, 161 Cal.App.4th at p. 1137, 74 Cal.Rptr.3d 832.)

(James L. Harris Painting & Decorating, Inc. v. West Bay Builders, Inc. (2015) 239 Cal.App.4th 1214, 1221-1222.) Plaintiff also points ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, cited in James L. Harris, for the rule that a court has the discretion to find there is no prevailing party. (See ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, 1017.) Finally, in Hsu v. Abbara (1995) 9 Cal.4th 863, the California Supreme Court held that this "practical level" determination, when brought pursuant to Civil Code section 1717, must be made only upon a final resolution of the contract claims. (Hsu v. Abbara (1995) 9 Cal.4th 863, 883.)

Although Plaintiff argues that the trial court determination of no-prevailing-party in James L. Harris Painting, which was upheld by the Court of Appeals, should dictate the same result here, the Court finds the circumstances of that case quite distinct from this action. In James L. Harris Painting, the plaintiff filed a complaint for breach of contract and violation of the prompt payment statutes, and the defendant likewise filed a cross-complaint for breach of contract against the plaintiff. (James L. Harris Painting, supra, 239 Cal.App.4th at 827.) The jury found both parties had failed to perform and refused to award damages to either side. (Ibid.) Under those facts, the trial court determined that there was no prevailing party and denied the defendant's motion for attorney's fees under the prompt payment statutes. (Ibid.)

In this action, only Plaintiff sought damages via its causes of action for breach of contract, common counts, and prompt payment penalties in the amount of at least \$25,827.84. (Compl., p. 6.) Plaintiff also sought to enforce the mechanic's lien it recorded against the subject property. Plaintiff did not achieve any of its litigation objectives as set out in the Complaint.

Instead, after nine months of litigation, it dismissed the entire action.

Although Defendants did not achieve a “defense verdict,” i.e., a determination by the finder of fact that it did not violate the prompt payment statutes, no authority holds that this is the only way to be a prevailing party. In this action, Defendants avoided any finding of fault, are not being held liable for any amount of damages, and did not have the mechanic's lien enforced against their property. Therefore, the Court finds Defendants are the prevailing party in this action and are entitled to an award of attorney's fees.

Calculation of Reasonable

Attorney's Fees

The method for establishing the amount of reasonable attorney fees under California law is the lodestar method. (Thayer v. Wells Fargo Bank, N.A. (2001) 92 Cal.App.4th 819, 833.) The method multiplies the number of hours reasonably expended by counsel by a reasonable hourly rate. (Ibid.) Factors relevant to a lodestar calculation include

[T]he nature of the litigation, its difficulty, the amount involved, the skill required and the skill employed in handling the litigation, the attention given, the success of the attorney's efforts, his learning, age, and experience in the particular type of work demanded [citation]; the intricacies and importance of the litigation, the labor and necessity for skilled training and ability in trying the cause, and the time consumed.

(In re Marriage of Cueva (1978) 86 Cal.App.3d 290, 296.)

Defendants seek an award of \$25,023.00 based on 40.2 hours of attorney time spent litigating this action at an hourly rate of \$600.00, plus 2.5 hours of paralegal time billed at \$140.00 per hour, and 6.7 hours of legal assistant time billed at \$90.00 per hour. (Motion, Julander Decl., ¶¶9-11 and Exh. A.) The attorney's hourly rate is supported by the number of years he has practiced law and the comparable hourly rate of similarly positioned attorneys. (Id. at ¶13-14.)

Plaintiff argues that much of this time pertains to work unrelated to the prompt payment statute violations. Specifically, that none of the affirmative defenses in Defendants' Answer addressed the fifth cause of

action; the discovery motions were unrelated, procedurally defective, and never came for hearing; the subpoena that Plaintiff sought to quash related to the employment status of Plaintiff's employees; and a cross-complaint that was never filed nor had any relation to the prompt payment statutes. Defendants reply that its litigation efforts revolved around the status of Plaintiff's employees, which directly related to whether Plaintiff could bring and succeed on an action for violation of the prompt payment statutes.

The Complaint alleges that Plaintiff is a licensed general contractor that entered into a contract to perform certain work at the property owned by Defendants. (Compl., ¶¶3, 10.) Defendants allegedly breached the contract by failing to pay for work worth at least \$25,827.84. (Id. at ¶11.) This factual basis underlies all the causes of action alleged in the Complaint. (See id. at ¶¶15-24, 28.) The fifth cause of action for violation of the prompt payment statutes incorporates those allegations and asserts that Defendants failed to make progress and/or retention payments within the time required by statute. (Id. at ¶¶24-25.) From these allegations, it is clear that the prompt payment violations arise out of Defendants' alleged non-payment under the parties' construction arrangement. It would be unnecessary for Defendants' defense, as initially set forth in their Answer, to assert affirmative defenses specific to only the fifth cause of action. Similarly, Defendants' discovery into the licensing status of Plaintiff's employees pertained to Plaintiff's right to bring these causes of action. Plaintiff's insistence that Defendants articulate a separate, specific justification for the discovery with respect to the fifth cause of action disregards the Complaint's common factual predicate.

Plaintiff also argues that the Answer did not assert any affirmative defense that it was not a properly licensed contractor, but the lack of such specific language in the Answer would not prohibit Defendants from seeking discovery on the issue, given the breadth of discoverable information. (See Code Civ. Proc., § 2017.010 ["any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence."].)

Next, the parties disagree as to whether the discovery motions Defendants filed should be compensated. Plaintiff characterizes them as procedurally and statutorily defective; Defendants contend the relevant

deadlines were not missed and the motions ultimately pushed Plaintiff to dismiss the case. The Court finds Defendants' explanation sufficiently supported by the declaration of its counsel, and Plaintiff's concession that it did not want to continue spending money on a limited civil case at the possible risk of its employees' privacy. (Reply, Julander Decl., ¶6; Opp., Plumtree Decl., ¶12.)

Defendants lastly concede that reducing the award sought with respect to the time spent on their proposed Cross-Complaint, in the amount of 4.9 hours billed at \$2,940.00, would be appropriate.

Based on the foregoing, Defendants are awarded attorney's fees of \$22,083.00 and costs of \$1,003.80.

Conclusion

Defendants Cheryl Aguilera and Steve Aguilera's Motion for Attorney's Fees and Costs is granted. Defendants are awarded attorney's fees of \$22,083.00 and costs of \$1,003.80.

Moving party to give notice.